



ENGINEERING PROJECT MANAGEMENT

Lecture # 3 Value Management

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What is Value?

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- The ratio of function to the cost
- Value = Function/cost

Value Management

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- *Value management is a combination of planning tools and methods to find the optimum balance of project benefits in relation to project costs and risks.*
- *It is the process of planning, assessing and developing the project in order to make the right decisions about the optimized balance of the benefits, risks and costs.*
- *Project value management allows increasing the likelihood of producing the deliverables and creating the benefits.*

Value Management - To improve the value

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- Value planning
 - Conceptual/planning phase of the project
- Value engineering
 - Design/engineering phase of the project
- Value analysis
 - Audit/analysis after the completion of the project

Why do we need value management?

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- To achieve a better understanding of business needs of the performing organization
- To set simple and clear definition of specific stakeholder needs
- To consider all options, alternatives and innovative ideas regarding project implementation and product delivery
- To achieve optimum value for money while satisfying the range of customer requirements
- To minimize the likelihood of unnecessary expenditure by reducing waste and inefficiency
- To improve collaboration and communication with customers.

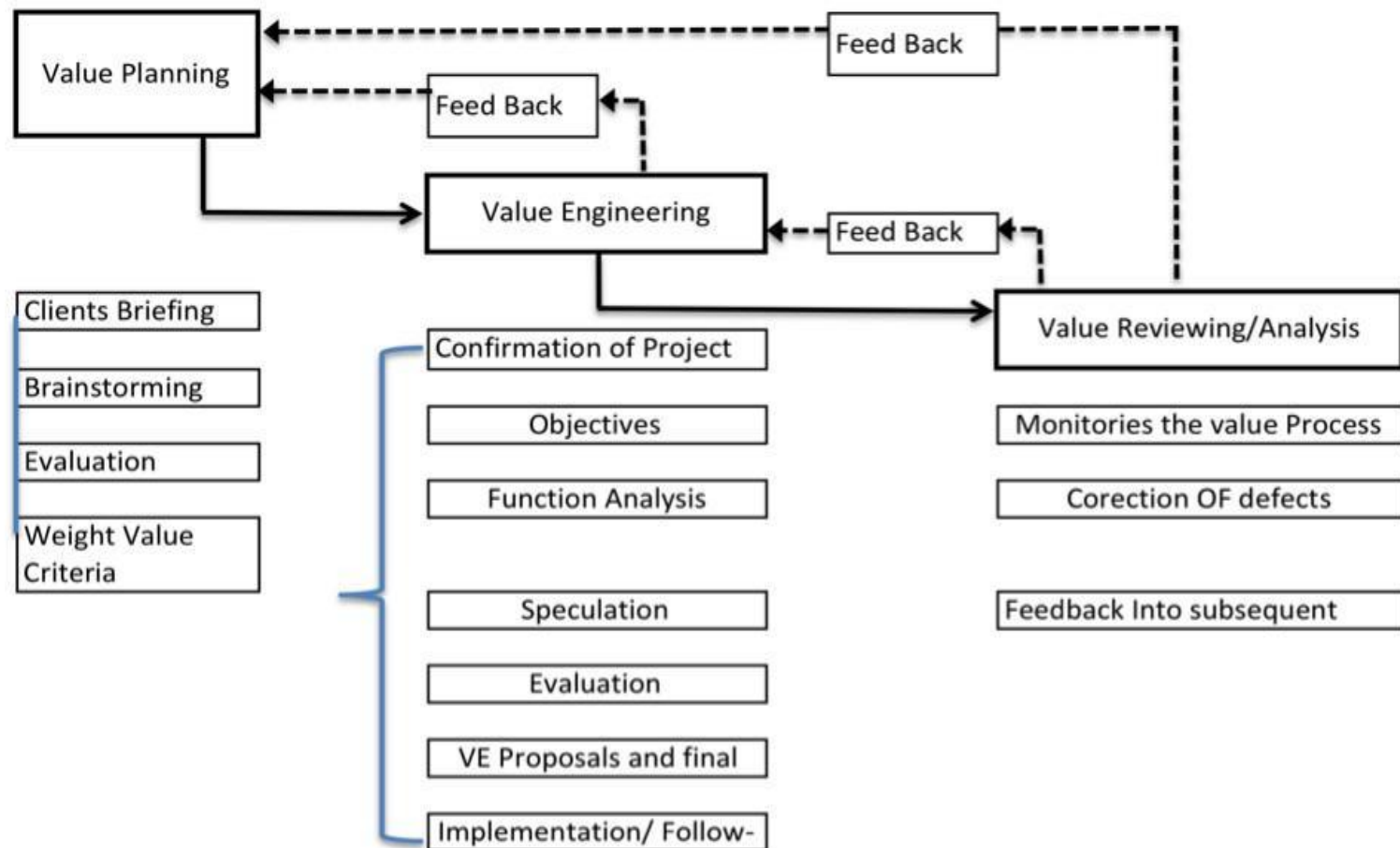
Value Engineering

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- To solve problems and identify-eliminate unwanted costs, while improving function and quality

Value Management Process

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Discussion

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